

Alphabet Inc.

GOOGL NASDAQ

Buy	\$332.54 ▼ 1.24%	12M Price Target \$380.00	52-Week Range \$187.82 – \$408.61	Market Cap \$4.07T
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GOOGL: Cooling After Rally, But Oracle Deal Extends Gemini Reach

WHAT HAPPENED

- Small pullback (-1.24%) after a 4-day rip from \$319 to \$336 — this is just profit-taking, not a story change. Volume today is way lighter (~9M vs 27M+ recently), which tells me sellers aren't panicking, buyers are just pausing.
- The real news is bullish: Oracle added Gemini to its enterprise AI lineup alongside OpenAI, Meta, and xAI. Translation — Alphabet's AI model is now sitting inside Oracle's database and ERP customers (Fortune 500 back-office systems). That's a massive distribution win Google couldn't easily build itself.

WHY IT MATTERS

Microsoft's blowout earnings this morning (cloud record, capex fears eased) is a tell for GOOGL — it means enterprises are still spending heavily on AI infrastructure, which directly benefits Google Cloud when it reports. The Oracle-Gemini deal is strategically bigger than it looks: Oracle runs the databases of banks, hospitals, and governments, and now Gemini is the AI layer on top. That's Google flanking Microsoft's Copilot advantage in enterprise. The insider selling looks routine (a VP unloading \$150K is a rounding error at a \$4T company), and the unusual \$332.5 call buying for August expiration suggests smart money is positioning for a move higher — someone dropped nearly \$1M betting the stock breaks out in the next 3 weeks.

POLICY & POLITICAL WATCH

The DOJ antitrust case is still the elephant in the room — the remedy phase is ongoing, and the risk of a forced Chrome or ad-tech divestiture hasn't gone away, but the market seems to be pricing in a settlement or milder outcome (stock is up 77% off the 52-week low). Watch the Trump administration's stance on Big Tech breakups — signals so far suggest they'd rather use tech as leverage on China policy than break these companies up, which is a quiet tailwind. Also watch the AI executive order framework — the current administration's lighter-touch approach to AI regulation (versus the EU's AI Act) benefits GOOGL because they can ship Gemini updates without waiting on federal approval, while EU exposure adds compliance cost.

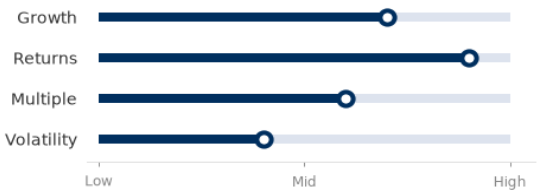
IS IT EXPENSIVE?

At ~34x forward earnings — meaning you're paying \$34 for every \$1 of profit Alphabet is expected to make next year — GOOGL isn't cheap, but it's actually a discount to Microsoft (~36x) and way below Nvidia. Given cloud is growing 30%+ and Gemini is now getting enterprise distribution via Oracle, the multiple looks justified. The stock at 66% of its 52-week range means there's still room to run before it feels stretched.

Key Data

Price (USD)	\$332.54
12M Price Target	\$380.00
Upside / (Downside)	+14.3%
Market Cap	\$4.07T
FY2026E Revenue	\$415M
FY2027E Revenue	\$468M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	33.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$340.00	\$315.00
6 Months	\$400.00	\$365.00	\$300.00
1 Year	\$440.00	\$380.00	\$285.00
2 Years	\$520.00	\$430.00	\$270.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+5.58% today) is ripping on Microsoft's earnings — AI infrastructure spending fears just got put to bed for now, which lifts every hyperscaler including GOOGL.

COOLING OFF: Utilities and Financials are lagging — money is rotating OUT of defensive/rate-sensitive names as risk appetite returns. Materials weak likely on China demand concerns.

ROTATION WATCH: Money is flowing back into mega-cap tech after a brief risk-off week (Tech was -1.45% over 5 days before today's pop). The Microsoft print is giving everyone permission to re-up on AI trades.

RELATED PLAY: If you buy the AI enterprise thesis, the picks-and-shovels play is data center infrastructure — Vertiv, Eaton, and the power/cooling names benefit whether it's Gemini or Copilot winning.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Cloud revenue hit a record, capex justified by demand — the entire sector is trading on their coattails today.
- ORCL (Oracle): Up on the Gemini deal — investors realize Oracle just became the neutral AI distribution layer for enterprise, and that's a very profitable place to sit.

GOOGL CONTEXT: GOOGL is slightly lagging today (-1.24% vs Tech ETF +5.58%) because it already ran hard the prior 4 days on positioning ahead of earnings and the Oracle news leak. It's not weakness — it's digestion. If GOOGL doesn't participate in the next tech leg up, that's when you worry.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Cloud is inflecting, Gemini has real distribution now, and antitrust risk is increasingly priced in. Not table-pounding only because of the DOJ overhang.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough that a bad antitrust ruling doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$320-328. If we get a market-wide risk-off day back to \$310, back up the truck.

TIME HORIZON: 12-24 months. Catalyst I'm waiting for: next earnings (cloud growth + Gemini monetization commentary) and the antitrust remedy ruling.

WHEN TO BAIL: Forced divestiture of Chrome or the ad-tech stack, or two consecutive quarters of cloud growth under 25%.

HEDGING: Buy longer-dated puts \$30-40 below current price as insurance against an antitrust surprise — think of it like homeowner's insurance for your position. Costs a little, saves you a lot if the worst happens.